As the revenues and expenses will affect capital, the expanded equation may be given as under:

Assets = Liabilities + Capital + Revenues – Expenses

Therefore, under this approach, accounts are classified into five categories: (i) Asset account, (ii) Liability account, (iii) Capital account, (iv) Revenue account and (v) Expense account as follows:



(i) **Asset account**

Any physical thing or right owned that has a monetary value is called asset. The assets are grouped and shown separately; for example, Land and Buildings account, Plant and Machinery account.

(ii) **Liability account**

Financial obligations of the enterprise towards outsiders are shown under separate heads as liabilities; for example, creditors account, expenses outstanding account.

(iii) **Capital account**

Financial obligations of a business enterprise towards its owners are grouped under this category; for example, capital contributed by owner.

(iv) **Revenue account**

Accounts relating to revenues of an enterprise are grouped under this category, for example; revenues from sale of goods, rent received.

(v) **Expense account**

Expenses incurred and losses suffered for earning revenue are grouped under this category; for example, purchase of goods, salaries paid.

A transaction may have the effect on either side of the equation by the same amount or it may have the effect on one side of the equation only, by both increasing and decreasing it by an equal amount.

Recording of transactions as per accounting equation approach is explained below:

(a) Increase in capital and increase in asset

Commenced business with cash ₹ 1,00,000

Effects: (i) Cash comes in → Increase in asset

(ii) Capital provided by the owner → Increase in capital of owner

Capital	=	Assets
Capital	=	Cash
(+) ₹ 1, 00,000	=	(+) ₹ 1, 00,000

(b) Decrease in liability and decrease in asset

Paid creditors ₹ 10,000

Effects: (i) Cash goes out → Decrease in asset

(ii) Creditors are paid → Decrease in liability

Liabilities	=	Assets
Creditors	=	Cash
(–) ₹ 10,000	=	(–) ₹ 10,000

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